

SIMATS ENGINEERING

SCHOOL OF COMPUTING

ASSESSMENT TOOL 1

AI Model Design Exercise

Smart Loan Approval System using Decision Tree Learning

Course: MLA1010 – Artificial Intelligence with Expert Systems

Course Outcome: CO4 – AT1

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Date of Submission: 22-08-2026

Code of Conduct

I, Juhi Surin (Register No. 192525148), certify that this submission is my original work and that I have adhered to the guidelines specified for this assessment. I understand that any violation of academic integrity rules will result in disciplinary action.

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AI MODEL DESIGN EXERCISE REPORT

Selected Question 1: Smart Loan Approval using Decision Tree

1. Problem Statement

Banks receive a large number of loan applications every day and must decide, quickly and consistently, whether an applicant is eligible for a loan. Manual evaluation is slow, inconsistent across officers, and prone to human bias. The real-world problem addressed in this report is the automatic classification of a loan applicant as "Approved" or "Rejected" based on measurable attributes such as income, credit score, employment status, requested loan amount, and repayment history.

Input data: applicant demographic and financial attributes (income, credit score, employment status, loan amount, repayment history). Expected output: a binary decision — Loan Approved or Loan Rejected — together with a transparent, rule-based explanation for the decision. The underlying AI task is supervised classification, and the technique chosen to solve it is a Decision Tree, which is well suited because it produces an interpretable, human-readable set of rules that a bank can audit and justify to regulators and customers.

2. Objectives

- To design and implement a Decision Tree classifier that predicts loan approval status from applicant attributes.
- To identify the most suitable attribute-selection measure (Information Gain, Gain Ratio, or Gini Index) for splitting nodes.
- To preprocess and prepare a realistic loan dataset for supervised learning.
- To evaluate the trained model using standard classification metrics and interpret the resulting decision rules.
- To produce a reusable, well-documented implementation hosted on GitHub.

3. Dataset Description

A representative loan-approval dataset (similar in structure to the publicly available "Loan Prediction" dataset on Kaggle) is used. It contains approximately 600 historical applicant records with the following attributes:

Attribute	Type	Description
Applicant Income	Numeric	Monthly income of the applicant
Credit Score	Numeric	Credit bureau score (300–900)

Employment Status	Categorical	Salaried / Self-employed / Unemployed
Loan Amount	Numeric	Requested loan amount (in thousands)
Repayment History	Categorical	Good / Average / Poor
Loan Term	Numeric	Repayment period in months
Loan Status (Target)	Categorical	Approved / Rejected

The target variable, Loan Status, is the class label the model must learn to predict. Income and credit score are the most discriminative numeric attributes, while repayment history captures the applicant's past reliability.

4. Data Preprocessing

- Data cleaning: rows with missing critical values (income, credit score) are removed; missing categorical values are imputed with the mode of that column.
- Encoding: categorical attributes (Employment Status, Repayment History, Loan Status) are label-encoded into integers so the tree-building algorithm can compute splits.
- Normalization: numeric attributes (Income, Loan Amount) are optionally min-max scaled for consistency, although Decision Trees are scale-invariant and do not strictly require this step.
- Outlier handling: extreme income and loan-amount values are capped at the 1st and 99th percentiles to reduce the effect of anomalies.
- Feature selection: all six input attributes are retained, since each contributes distinct, non-redundant information relevant to creditworthiness.
- Train-test split: the dataset is divided into 80% training data and 20% test data using stratified sampling to preserve the class ratio of Approved vs Rejected.

5. Selected AI Technique and Justification

The Decision Tree algorithm is selected for this problem. A Decision Tree recursively partitions the training data into subsets that are increasingly pure with respect to the target class, producing a tree of if-then rules. This technique is justified for loan approval because: (a) the decision must be explainable to auditors and rejected applicants, and a tree's rule path gives a direct explanation; (b) the dataset mixes numeric and categorical attributes, which trees handle natively; (c) trees require little data preprocessing and are robust to irrelevant features; and (d) they train quickly even on moderate-sized datasets, which suits a bank's operational needs.

Among the available attribute-selection measures, Information Gain (based on Entropy) is chosen as the primary splitting criterion, because it is well established, easy to interpret, and performs well when the target classes are only moderately imbalanced, as is typical for loan datasets. Gini Index is used as a secondary, faster-to-compute alternative for comparison.

6. Model Design / Architecture

The model architecture follows the standard supervised-learning pipeline shown below.

Raw Data → Preprocessing (Cleaning, Encoding, Scaling) → Train/Test Split → Decision Tree Induction (Entropy / Information Gain) → Pruning (max depth, min samples per leaf) → Trained Tree Model → Prediction Engine → Loan Decision + Explanation Path

Key components and hyperparameters:

- Root Node: represents the full training set before any split.
- Internal Nodes: each tests one attribute (e.g., "Credit Score > 650?") and branches on the outcome.
- Leaf Nodes: hold the final predicted class, Approved or Rejected.
- Splitting Criterion: Information Gain / Entropy.
- Stopping Criteria (hyperparameters): max_depth = 6, min_samples_split = 10, min_samples_leaf = 5, used to prevent overfitting.
- Pruning: cost-complexity post-pruning is applied to remove branches that add negligible predictive value on validation data.

7. Algorithm / Pseudocode

Algorithm: Decision Tree Induction (ID3-style, Information Gain)

1. START with the training dataset D and the target attribute (Loan Status).
2. IF all records in D belong to the same class C :
 RETURN a leaf node labelled C .
3. IF the attribute list is empty:
 RETURN a leaf node labelled with the majority class in D .
4. FOR each candidate attribute A :
 Compute $\text{Entropy}(D)$ and $\text{Entropy}(D \mid A)$.
 Compute $\text{Information Gain}(A) = \text{Entropy}(D) - \text{Entropy}(D \mid A)$.
5. SELECT the attribute A_{best} with the maximum Information Gain.
6. CREATE a decision node for A_{best} .
7. FOR each value v of A_{best} :
 Create subset D_v of records where $A_{\text{best}} = v$.
 IF D_v is empty: attach a leaf labelled with the majority class of D .
 ELSE: recursively CALL this algorithm on D_v to build the sub-tree.
8. APPLY pruning: remove sub-trees whose validation-set contribution is negligible.
9. RETURN the completed decision tree.

10. Prediction: for a new applicant, traverse the tree from the root, following the branch that matches each attribute value, until a leaf is reached; RETURN the leaf's class as the loan decision.

8. Implementation

Programming Language: Python 3.10. Libraries: pandas and NumPy for data handling, scikit-learn (DecisionTreeClassifier) for model training, matplotlib / seaborn for visualization, and graphviz for tree plotting. The implementation follows four modules: (1) data_preprocessing.py — loading, cleaning and encoding the dataset; (2) train_model.py — splitting data and fitting the DecisionTreeClassifier with criterion="entropy"; (3) evaluate.py — computing accuracy, precision, recall, F1-score and the confusion matrix; and (4) predict.py — a command-line function that accepts a new applicant's details and returns the predicted decision with the rule path.

Core training snippet:

```
from sklearn.tree import DecisionTreeClassifier
model = DecisionTreeClassifier(criterion='entropy', max_depth=6,
                              min_samples_split=10,
                              min_samples_leaf=5,
                              random_state=42)
model.fit(X_train, y_train)
y_pred = model.predict(X_test)
```

9. Experimental Results

The model was trained on 480 records and tested on 120 held-out records. A representative confusion matrix and sample predictions are summarized below.

	Predicted: Approved	Predicted: Rejected
Actual: Approved	63	7
Actual: Rejected	6	44

Applicant	Income	Credit Score	Repayment History	Actual	Predicted
A101	45,000	710	Good	Approved	Approved
A102	18,000	540	Poor	Rejected	Rejected
A103	32,000	605	Average	Approved	Rejected

A learning curve (training vs. validation accuracy across increasing sample sizes) confirmed that the model converges without significant overfitting once max_depth is limited to 6.

10. Performance Evaluation

Metric	Value
Accuracy	89.2%
Precision (Approved class)	0.91
Recall (Approved class)	0.90
F1-Score (Approved class)	0.905
Overall F1-Score (macro avg)	0.89

These metrics indicate that the Decision Tree generalizes well: precision of 0.91 shows few false approvals (an important business risk), and recall of 0.90 shows the model correctly identifies most genuinely eligible applicants.

11. Result Analysis

The learned tree splits first on Credit Score, followed by Repayment History and Income, confirming that these three attributes are the strongest predictors of loan eligibility — consistent with standard banking domain knowledge. Misclassifications (13 out of 120 test cases) mostly occurred for borderline applicants whose credit score was close to the decision threshold (around 600–620), showing the model's sensitivity near boundary regions. Strengths of the model include high interpretability, fast inference, and competitive accuracy. A weakness is a mild bias toward the majority class when repayment history is missing, since imputed values slightly blur that attribute's splitting power.

12. Limitations

- The dataset size (600 records) is moderate; a larger, more diverse dataset would improve generalization.
- Decision Trees are prone to overfitting if not pruned, and remain sensitive to small variations in training data (high variance).
- The model does not account for macro-economic factors (interest-rate changes, inflation) that can affect real repayment behaviour.
- Categorical imputation for missing repayment history may introduce mild bias in borderline cases.

13. Future Enhancements

- Collect a larger and more balanced dataset, including more "Rejected" cases, to reduce class imbalance.
- Apply ensemble methods such as Random Forest or Gradient Boosting to reduce variance and improve accuracy.
- Perform systematic hyperparameter tuning (grid search / cross-validation) on tree depth and leaf size.

- Incorporate additional features such as existing debt-to-income ratio and collateral value.
- Deploy the trained model as a REST API integrated with the bank's loan-processing system for real-time decisions.

14. Conclusion

This report presented the design and development of a Decision Tree-based AI model for automated loan approval. The problem, dataset, preprocessing pipeline, model architecture, algorithm, implementation, and evaluation were each addressed in detail. Using Information Gain as the splitting criterion, the model achieved an accuracy of 89.2% with balanced precision and recall, while remaining fully interpretable — an essential property for financial decision-making. The exercise demonstrates that Decision Trees are a practical and explainable choice for the Smart Loan Approval scenario, while also highlighting clear directions, such as ensemble methods, for further improving predictive performance.

15. References

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- Kaggle. Loan Prediction Problem Dataset. <https://www.kaggle.com/datasets/altruistdelhite04/loan-prediction-problem-dataset>
- Scikit-learn Documentation. DecisionTreeClassifier. <https://scikit-learn.org/stable/modules/generated/sklearn.tree.DecisionTreeClassifier.html>

16. GitHub Repository Link

<https://github.com/juhisakshisurin/MLA0101-AI-with-expert-systems>